Specimen Mortality Rates: Indian Individual Annuitant's Mortality Table (2012-15)

Age	Rates
60	0.006349
65	0.010070
70	0.016393
75	0.027379
80	0.046730

Net Balance Sheet position as at 31.03.2026

A	Development of Net Balance Sheet Position	As at 31.03.2026	As at 31.03.2025
1	Defined benefit obligation (DBO)	(745.29)	(714.53)
2	Fair value of plan assets (FVA)	490.36	467.72
3	**Funded status [surplus/(deficit)]**	**(254.93)**	**(246.81)**
4	Effect of Asset ceiling	-	-
5	**Net defined benefit asset/ (liability)**	**(254.93)**	**(246.81)**

B	Reconciliation of Net Balance Sheet Position	As at 31.03.2026	As at 31.03.2025
1	Net defined benefit asset/ (liability) at end of prior period	(246.81)	(192.00)
2	Service cost	(14.25)	(13.65)
3	Net interest on net defined benefit liability/ (asset)	(15.90)	(13.03)
4	Amount recognised in OCI	10.36	(39.81)
5	Employer contributions	11.66	11.68
6	Benefit paid directly by the Company	-	-
7	Acquisitions credit/ (cost)	-	-
8	Divestitures	-	-
9	Cost of termination benefits	-	-
10	Net defined benefit asset/ (liability) at end of current period	**(254.94)**	**(246.81)**

C	Assumptions	As at 31.03.2026	As at 31.03.2025
1	Discount Rate	6.90%	6.60%
2	Medical Inflation rate	0.00%	0.00%
3	Withdrawal Rate	0.30%	0.30%
	Mortality Rate - Inservice	Indian Assured Lives Mortality (2006-08) Ultimate	Indian Assured Lives Mortality (2006-08) Ultimate
4	Mortality Rate - Post retirement	Indian Individual Annuitant's Mortality Table (2012-15)	Indian Individual Annuitant's Mortality Table (2012-15)
	Average Medical Cost (INR)	Executive Employees:Domiciliary Benefit - INR 36,000 p.a.Hospitalisation Benefit - INR 35,000 p.a.Non Executive Employees: Domiciliary Benefit+Hospitalisation Benefit combined - INR 18,000 p.a.	Executive Employees:Domiciliary Benefit - INR 36,000 p.a.Hospitalisation Benefit - INR 35,000 p.a.Non Executive Employees: Domiciliary Benefit+Hospitalisation Benefit combined - INR 18,000 p.a.
5	Spouse Age Difference	Spouse is 5 years younger than Member	Spouse is 5 years younger than Member

Changes in Benefit Obligations and Assets over the Year ending 31.03.2026

A	Change in Defined Benefit Obligation (DBO)	For the year ended 31.03.2026	For the year ended 31.03.2025
1	DBO at end of prior period	714.53	611.52
2	Current service cost	14.25	13.65
3	Interest cost on the DBO	46.33	42.81
4	Curtailment (credit)/ cost	-	-
5	Settlement (credit)/ cost	-	-
6	Past service cost - plan amendments	-	-
7	Acquisitions (credit)/ cost	-	-
8	Actuarial (gain)/loss - experience	20.41	14.78
9	Actuarial (gain)/loss - demographic assumptions	-	-
10	Actuarial (gain)/loss - financial assumptions	(25.23)	31.77
11	Benefits paid directly by the Company	-	-
12	Benefits paid from plan assets	(25.00)	-
13	**DBO at end of current period**	**745.29**	**714.53**

B	Change in Fair Value of Assets	For the year ended 31.03.2026	For the year ended 31.03.2025
1	Fair value of assets at end of prior period	467.72	419.52
2	Acquisition adjustment	-	-
3	Interest income on plan assets	30.43	29.78
4	Employer contributions	11.66	11.68
5	Return on plan assets greater/(lesser) than discount rate	5.55	6.74
6	Benefits paid	(25.00)	-
7	**Fair Value of assets at the end of current period**	**490.36**	**467.72**

Additional Disclosure Information

A	Expected benefit payments for the year ending	
1	March 31, 2027	42.34
2	March 31, 2028	45.50
3	March 31, 2029	48.41
4	March 31, 2030	51.40
5	March 31, 2031	54.08
6	March 31, 2032 to March 31, 2036	295.65
7	Beyond 10 years	1,366.70

B	Weighted average duration of defined benefit obligation	12 Years
C	Accrued Benefit Obligation at 31.03.2026	745.29

Description of Plan Characteristics and Associated Risks

The PRMB scheme is a fixed monetary amount Defined Benefit Plan that provides for a lump sum payment made after retirement when a retiree claims medical benefits. The benefits are defined on the basis of amount claimed under medical expenses (valued as a premium paid by the company to the insurance company) upto a maximum limit after Retirement.

The Plan design means the risks commonly affecting the liabilities and the financial results are expected to be:

1 Interest rate risk: The defined benefit obligation calculated uses a discount rate based on government bonds. If bond yields fall, the defined benefit obligation will tend to increase.

2 Medical Inflation risk: Higher than expected increase in premium can lead to increase in defined benefit obligation. Although, this risk is mitigated by capping the benefit paid by the insurance company (limiting the premium amount for the company).

3 Demographic risk: This is the risk of variability of results due to unsystematic nature of decrements that include mortality, withdrawal, disability and retirement. The effect of these decrements on the defined benefit obligation is not straight forward and depends upon the combination of salary increase, discount rate and vesting criteria. It is important not to overstate withdrawals because in the financial analysis the retirement benefit of a short career employee typically costs less per year as compared to a long service employee.

Description of Funding Arrangements and Policies

There are no Statutory minimum funding requirements for such plans mandated in India. However a company can fund the benefits by way of a separate irrevocable Trust to take advantage of tax exemptions and also to ensure security of benefits.

The scheme is funded by way of a separate irrevocable Trust and the Group is expected to make regular contributions to the Trust. The fund is managed by an insurance company and the assets are invested in their conventional group gratuity product. The fund provides a capital guarantee of the balance accumulated and declares interest periodically that is credited to the fund account. Although we know that the fund manager invests the funds as per products approved by IRDA and investment guidelines as stipulated under section 101 of IT Act, the exact asset mix is unknown and not publicly available.

The Trust assets managed by the fund manager are highly liquid in nature and we do not expect any significant liquidity risks.

The Trustees are responsible for the investment of the assets of the Trust as well as the day to day administration of the scheme. Administrative expenses of the trust are met by the Group. The Trustees are required to conduct necessary business e.g. Approval of Trust's Financial Statements, Review Investment performance.

Sensitivity Analysis

	DBO on base assumptions as at 31.03.2026	**745.29**
A	**Discount Rate**	
	Discount Rate as at 31.03.2026	6.90%
1	Effect on DBO due to 0.5% increase in Discount Rate	39.01
	Percentage Impact	-6%
2	Effect on DBO due to 0.5% decrease in Discount Rate	42.88
	Percentage Impact	6%

6. Other Information

(a) Segment Reporting

The Company is primarily engaged in a single segment business of production and sale of Coal.

(b) Ratios

Ratios	For the year ended 31.03.2026	For the year ended 31.03.2025
Current Ratio	1.49	1.42
Inventory Turnover Ratio	9.00	10.26
Receivable Turnover Ratio	13.00	9.94
Trade Payable Turnover Ratio	3.09	3.24
Net Capital Turnover Ratio	6.07	7.18
Net Profit Ratio (%)	19.65	23.98
Return on Capital Employed	0.13	0.22
Return on Equity (ROE)	0.17	0.27
Return on Investment (ROI)		
(a) ROI on Equity Investment in Unlisted Subsidiaries	-	-
(b) ROI on Mutual fund	0.06	0.10
(c) ROI on depsoits (With Banks, Fis incl ICDs)	0.77	1.12

Current Ratio: The current ratio is a liquidity ratio that measures the current resources to meet its short-term obligations. Current ratio has been calculated as Current Assets divided by Current liabilities.

Inventory Turnover Ratio: Inventory turnover is a financial ratio showing how many times inventory has been sold during a given period. Inventory Turnover is calculated by Divided Cost of Goods Sold/Average Value of Inventory. Where, Cost of Goods Sold = (Total Expenditure -Finance Cost - write off - provision- Corporate Social Responsibility Expenses -Stripping Activity Adjustment).

Receivables Turnover Ratio: The receivables turnover ratio is an accounting measure used to quantify a company's effectiveness in collecting its accounts receivable, or the money owed by customers. Account receivables Turnover = Gross Credit Sales/Average trade receivables.

With increased gross credit sales (due to increase in levies) and reduction in Average Trade Receivable (due to settlement of old dues with customers and improved realisation), the company could manage to improve Receivable Turnover Ratio over 30% as compared to previous year.

Trade Payable Turnover Ratio: Trade payable turnover shows how many times a company pays off its accounts payable during a period. Trade payables turnover ratio = Total Purchases/average Trade payables).

Net Capital Turnover: Net Capital turnover is the measure that indicates organization's efficiency in relation to the utilization of working capital employed in the business and it has been calculated as a ratio of total annual turnover divided by the working capital.

Net profit Ratio: Net profit as a percentage of Net Sales

Return on Capital Employed: Earnings before interest and tax (EBIT) / Capital employed, where capital employed is total of Assets - current liabilities.

Due to decrease in EBIT as compared to previous year on account of decreased sales volumes with increased capital employed due to increased capital expenditure, Return on Capital Employed has shown reduction over 43%.

Return on Equity Ratio: Return on equity (ROE) is a measure of financial performance calculated by dividing net income by Average shareholders' equity. Where Net Income is Profit after tax for the period, average shareholders' equity = (Opening Equity + Closing Equity)/2.

Due to decrease in net income as compared to previous year on account of decreased sales volumes with increased Average Shareholder's Equity, Return on Capital Employed has shown reduction over 37%.

Return on investment : Return on investment (ROI) is a financial ratio used to calculate the benefit received by the company in relation to its investment cost. The higher the ratio, the greater the benefit earned.

ROI on Equity Investment in Unlisted Subsidiaries: Dividend/Average Investment in Equity of Subs.

ROI on Mutual fund = Dividend + Capital gain + Fair value gain (Loss)/Average Investment

ROI on deposits (With Banks, FDs incl ICDs) = Interest income/ Average Investment

Due to decrease in interest rates on deposits with banks and decreased investment in Fixed Deposit & Mutual Funds during the year, Return on investment has shows reduction over 30%.

C) Disaggregated revenue information:

The table below presents disaggregated revenues from contract with customers information as per requirement of Ind AS 115, Revenue From Contract with Customer for revenue from sale of coal & others:

(₹ in crore)

Disaggregated revenue information:	**For the year ended 31.03.2026**	**For the year ended 31.03.2025**
Types of goods or service		
- Coal	21,224.26	20,590.51
- Others	109.47	156.33
Total revenue from Sale of Coal & others	**21,333.73**	**20,746.84**
Types of customers		
- Power sector	16,025.41	15,088.41
- Non-Power Sector	5,198.85	5,502.10
- Others or Services	109.47	156.33
Total revenue from Sale of Coal & others	**21,333.73**	**20,746.84**
Types of contract		
- FSA	18,344.05	17,237.94
- E Auction	2,880.21	3,352.57
- Others	109.47	156.33
Total revenue from Sale of Coal & others	**21,333.73**	**20,746.84**
Timing of goods or service		
- Goods transferred at a point in time	21,224.26	20,590.51
- Goods transferred over time	-	-
- Services transferred at a point in time	109.47	156.33
- Services transferred over time	-	-
Total revenue from Sale of Coal & others	**21,333.73**	**20,746.84**

d) **Earnings per share**

Sl. No.	Particulars	For the year ended 31.03.2026	For the year ended 31.03.2025
i)	Net profit after tax attributable to Equity Share Holders (₹ in Crore)	2,960.97	4,057.94
ii)	Weighted Average no. of Equity Shares Outstanding (No of Shares in Crore)	1.88	1.88
iii)	Basic and Diluted Earnings per Share in Rupees (Face value ₹ 10/- per share)	₹ 1,574.98	₹ 2,158.48

e) **Benami Property:**

No proceedings have been initiated or pending against the Company under the Benami Transactions (Prohibition) Act,1988.

f) **Returns or statements filled with banks or financial institutions:**

The returns / statement of current assets filed by the company with banks / financial institutions are in agreement with the books of accounts.

g) **Wilful Defaulter:**

Company has not been declared as a wilful defaulter by any bank or financial institution or any other lender.

h) **Relationship with Struck off Companies:**

Company has not undertaken any material transactions with struck-off companies.

i) **Compliance with number of layers of companies:**

The provisions of clause (87) of section 2 of the Act read with the Companies (Restriction on number of Layers) Rules, 2017 are not applicable to the Company as per Section 2(45) of the Companies Act, 2013.

j) **Compliance with approved Scheme(s) of Arrangements:**

There were no scheme of Arrangements approved by the competent authority during the year in terms of sections 230 to 237 of the Companies Act,2013.

k) **Utilisation of Borrowed funds and share premium:**

Company has not advanced or loaned or invested any fund to any entity (Intermediaries) with the understanding that the Intermediary shall lend or invest in party identified by or on behalf of the Company (Ultimate Beneficiaries).

Company has not received any fund from any party with the understanding that the Company shall whether, directly or indirectly lend or invest in other entities identified by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

l) **Crypto Currency or Virtual Currency**

Company has not traded or invested in Crypto currency or Virtual Currency during the financial year.

m) **Undisclosed Income:**

Company does not have any transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961.

n) **Misappropriation, Fraud, Excess payment, theft etc. cases**

Theft of goods during the period is ₹ 0.03 Crores (Previous year ₹ 0.25 Crores), which has been duly accounted for.

o) **Other Matters reported in the financial statements**

CCL has paid ₹ 402.32 crore as interim dividend for FY 2025-26 (PY ₹ 601.60 Crore as interim dividend and further ₹ 609.12 Crore as final dividend). The Board of Directors proposed / recommended final dividend for FY 2025-26 of ₹ 488.80 Crore, which will be recognised as distribution to owners during FY 2025-26 on its approval by the Shareholders in Annual General Meeting.

8. Restatement for the year ended 31st March 2025 and as at 1st April 2024

In accordance with Ind AS 8, Accounting Policies, Changes in Accounting Estimates and Errors, and Ind AS 1, Presentation of Financial Statements, the Group has retrospectively restated its Balance Sheet as at 31 March 2025 and 1 April 2024, and the Statement of Profit and Loss for the year ended 31 March 2025.

Persuant to finalisation of land capitalisation policy in compliance to observation of the auditors in this regard, the company re-assessed expenditure capitalised in earlier years and accordingly, restated its financials.

Historically, the company treated levies on coal production and sales imposed by central, state and local authorities as amounts collected in an agency capacity. Pursuant to observations of the auditors, the Group reassessed the accounting treatment of such levies based on their underlying nature, relevant accounting standards, legal provisions and opinions obtained from accounting experts. Based on this assessment, the company concluded that for certain levies it acts as a principal and accordingly same has been rectified through regrouping of the financial statements.

Reconciliation of financial statement line items which are retrospectively restated are as under:

Reconciliation of restated items of Balance Sheet as at 31st March 2025 and 1st April 2024:

(₹ in Crore)

Particulars	Note	As at 31.03.2025			As at 01.04.2024		
		As previously Reported	Adjustments	As restated	As previously Reported	Adjustments	As restated
Property, Plant & Equipment	3.1	9,019.89	(693.60)	8,326.29	7,056.86	(719.24)	6,337.62
Exploration and evaluation	3.3	611.46	(23.92)	587.54	629.23	(23.92)	605.31
Inventories	5.1	1,809.30	(1.96)	1,807.34	1,316.97	(2.05)	1,314.92
Other Non-Current Assets	6.1	6,186.61	774.30	6,960.91	4,719.23	772.37	5,491.60
Deferred Tax Assets	11.2	152.75	(14.62)	138.13	235.32	(6.84)	228.48
Total Assets		**29,947.95**	**40.20**	**29,988.15**	**26,096.28**	**20.32**	**26,116.60**
Other Equity	7.2	14,584.04	43.48	14,627.52	11,705.15	20.30	11,725.45
Trade Payables	8.3	1,014.37	(3.47)	1,010.90	1,035.41	(0.17)	1,035.24
Other Financial Liabilities	8.4	2,301.99	0.19	2,302.18	1,862.76	0.19	1,862.95
Total Liabilities		**29,947.95**	**40.20**	**29,988.15**	**26,096.28**	**20.32**	**26,116.60**

ii) Reconciliation of restated items of statement of Profit and Loss for the year ended 31 March 2025:

(₹ in Crore)

Particulars	Note	As previously Reported	Regrouping Adjustments	Restated Adjustments	As restated
Revenue from Operations	12.1	16,919.99	3,805.75	-	20,725.74
Other Income	12.2	717.02	-	1.93	718.95
Change in Inventory of Coal	13.2	(495.77)	-	(0.09)	(495.86)

Particulars	Note	As previously Reported	Regrouping Adjustments	Restated Adjustments	As restated
Employee Benefits Expense	13.3	6,721.38	(104.44)	-	6,616.94
Depreciation, amortization and impairment expenses	13.5	942.75	-	(53.33)	889.42
Stripping activity adjustment - Improved access to Coal	13.6	(167.03)	(21.10)	2.49	(185.64)
Other Expenses	13.8	1,762.90	3,931.29	21.90	5,716.09
Profit before tax		**5,412.18**	**-**	**30.96**	**5,443.14**
Tax Expense	14.1	1,377.42	-	7.78	1,385.20
Profit for the year		**4,034.76**	**-**	**23.18**	**4,057.94**
Total Comprehensive Income		**3,978.69**	**-**	**23.18**	**4,001.87**

Reconciliation of restated items of Statement of Cash Flows for the year ended 31 March 2025:

(₹ in Crore)

Particulars	As previously Reported	Adjustments	As restated
CASH FLOW FROM OPERATING ACTIVITIES			
Profit before tax	5,412.18	30.96	5,443.14
Adjustments for:			
Depreciation, amortization and impairment expenses	942.75	(53.33)	889.42
Interest and other income from investment	(377.21)	(1.93)	(379.14)
Stripping activity adjustment - Improved access to Coal	(188.13)	2.49	(185.64)
Cash flows from operating activities before changes in following assets and liabilities	**6,067.01**	**(21.81)**	**6,045.20**
Inventories	(501.56)	(0.09)	(501.65)
Other current and non current Assets	(996.51)	772.37	(224.14)
Trade Payables	(21.04)	(3.30)	(24.34)
Net Cash Flow from Operating Activities	**4,045.81**	**747.17**	**4,792.98**
CASH FLOW FROM OPERATING ACTIVITIES			
Payments for Property, Plant and Equipments and Intangible assets	(3,527.65)	(749.10)	(4,276.75)
Interest received on Investment	330.08	1.93	332.01
Net Cash from Investing Activities	**(2,274.54)**	**(747.17)**	**(3,021.71)**

Reconciliation of Earnings per share for the year ended 31 March 2025

(₹ in Crore)

Particulars	Previously Reported	Adjustments	Restated
Basic and Diluted EPS	2,146.15	12.33	2,158.48

9 Miscellaneous Informations

Recent Accounting pronouncements applicable in Financial Year 2025-26

The Ministry of Corporate Affairs (MCA) has issued several amendments during the year to the Companies (Indian Accounting Standards) Rules, 2015, introducing changes to various Indian Accounting Standards (Ind AS) applicable from the date of publication in the Official Gazette. These amendments issued on 7th May, 2025 and 13th August, 2025 cover amendments or consequential amendments to Ind AS 1,7,10, 12, 21, 28, 32, 101, 107, 108, 109, 115 and 116. The company has evaluated these amendment and find no material impact on its financial statements.

Figures for previous year have been regrouped wherever necessary, in order to make them comparable.

The material accounting policies have been updated to enhance clarity for users of the financial statements. These updates do not carry any financial implications.

Note – 1 and 2 represents Corporate information and Material Accounting Policies respectively, Note 3 to 11 form part of the Balance Sheet as at and 12 to 15 form part of Statement of Profit & Loss for the year ended on that date. Note – 16 represents Additional Notes to the Financial Statements.

In terms of our Report of even date

On behalf of the Board

For D N Dokania & Associates
CHARTERED ACCOUNTANTS
Firm Reg.No. 050042C

Sd/-
(Nilendu Kumar Singh)
Chairman-Cum-Managing Director
DIN- 09847503

Sd/-
(Pawan Kumar Mishra)
Director (Finance)
DIN- 09665365

Sd/-
(CA Naman Kumar Dokania)
Partner
(Membership No. 417251)

Sd/-
(D. Devi Prasad)
General Manager (Finance)

Sd/-
(Amaresh Pradhan)
Company Secretary
M. No.-F11264

Place : Ranchi
Dated : 21st April, 2026

INDEPENDENT AUDITOR'S REPORT

To
The Members of Central Coalfields Limited
Report on the Audit of Consolidated Ind AS Financial Statements

Opinion

We have audited the accompanying Consolidated Ind AS financial statements of **Central Coalfields Limited** (hereinafter referred to as the "Holding Company") and its subsidiary Jharkhand Central Railway Limited (Holding Company and its subsidiary together referred to as "the Group"), which comprise the Consolidated Balance Sheet as at **31st March 2026,** and the Consolidated Statement of Profit and Loss (Including Other Comprehensive Income), the Consolidated Statement of Changes in Equity and Consolidated Statement of Cash Flows for the year then ended, and notes to the Consolidated Ind AS financial statements, including a summary of material accounting policies and other explanatory information(hereinafter referred to as "the Consolidated Ind AS Financial Statements").

In our opinion and to the best of our information and according to the explanations given to us and based on consideration of report of the other auditors on separate Financial Statements of the subsidiary referred to in Other Matters section below, the aforesaid Consolidated Ind AS Financial Statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act, read with Companies (Indian Accounting Standards) Rules, 2015, as amended from time to time, ("Ind AS") and other accounting principles generally accepted in India, of their Consolidated State of Affairs of the Group as at March 31,2026, of consolidated profit, Consolidated Changes in Equity and its Consolidated Cash Flows for the year then ended.

Basis of Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) ofthe Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Ind AS Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India (ICAI), and we have fulfilled our other ethical responsibilities in accordance with the provisions of the Companies Act,2013. We believe that the audit evidence obtained by us and the audit evidence obtained by other auditor in terms of their report referred to in the 'Other Matters' section below is sufficient and appropriate to provide a basis for our audit opinion on the Consolidated Financial Statements.

Emphasis of Matter

We draw attention to the following matters to the Consolidated Ind AS Financial Statements:

i) Reference is invited to Note 12.1, Note 12.1.1 and Note 13.8 read with paragraph 3 of Point No. 8 of Note 16 to the financial statements, wherein the Company has carried out a retrospective restatement of the financial statements for the year ended 31 March 2025, along with the opening balances as at 1 April 2024, in compliance with the applicable Ind AS.

The restatement is consequent to a change in the accounting treatment of certain coal levies, following observations made by the Comptroller and Auditor General (C&AG) at the Coal India level, and a subsequent re-evaluation of the nature of such transactions, relevant accounting standards, applicable legal provisions, and expert opinions obtained.

Pursuant to the above reassessment, the company has determined that it acts as a principal in respect of such levies, and the same has accordingly been given effect through appropriate regrouping in the financial statements. The detailed impact of the restatement has been disclosed in the relevant notes to the financial statements.

ii) We also draw attention to paragraph 2 of Point No. 8 of Note 16 to the financial statements, which discloses the restatement of the financial statements pursuant to the finalization of the land capitalization policy in compliance with the observations of the Comptroller and Auditor General (C&AG). In this regard, the Company has reassessed the expenditure capitalized in earlier years and accordingly restated the same in the financial statements.

iii) We also draw attention to Note 8.4 read with foot note 8.4.2 and Note 13.3 read with foot note 13.3.5, wherein the company has recognized a provision of Rs. 268 Crores (for arrear payment) towards revision of pay scales of executives (up to mid-level), effective from 23.08.2023and implemented from 01.01.2026 across the Coal India Limited Group, pursuant to the order of the Hon'ble High Court of Jabalpur dated 07 January 2026 and subsequent approval by the Board of Directors of Coal India Limited.

Our opinion is not modified in respect of these matters.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Consolidated Ind AS financial statements of the current year. These matters were addressed in the context of our audit of the Consolidated Ind AS Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

S. No	Key Audit Matter	Auditor's Response
1	**<u>Ind AS 115 "Revenue from Contracts with Customers":</u>** In the Consolidated Ind AS financial statements in respect of accuracy of revenue recognition and adjustments for coal quality variances involves critical estimates. The revenue recognized by the Company in a particular contract is dependent on the sale agreement / allotment in e-auction for the respective customer. Subsequent adjustments are made to the transaction price due to grade mismatch/slippage of the transferred coal. The variation in the contract price if not settled mutually between the parties to the contract is referred to third party testing and the company estimates the adjustments required for revenue recognition pending settlement of such dispute. Such adjustments in revenue are made on estimated basis following historical trend. *(Refer to Note 12.1 to the Consolidated Ind AS Financial Statements)*	We have assessed the application of the provisions of Ind AS 115 in respect of the Company's revenue recognition and appropriateness of the estimated adjustments in the process. We have selected transactions on sample basis and tested for identification of contracts involving disputes relating to grade mismatch/ slippage with respect to the terms of the contract, evaluation of the satisfaction of performance obligation checking the adjustment to the revenue due to variation in transaction price. We have performed tests to establish the basis of estimation of the consideration and whether such estimates are commensurate with the accounting policy of the Company. Our procedures did not identify any material exceptions.
2	**<u>Evaluation of provisions and Contingent Liabilities:</u>** The Company has a number of litigations including direct and indirect taxes, various claims, etc. Pending before various forums against it and the management's judgment is required for estimating the amount to be provided and/or disclosed as contingent liability. We identified this as a key audit matter because the estimates and assessment with respect to these involve a significant degree of management's judgment, interpretations, and may therefore require adequate attention to arrive at the required conclusion. *(Refer Clause (a) of Point No. 1 of Note 16 to the Consolidated Financial Statements, read with the material Accounting Policy No. 2.22)*	Our audit procedures, based on which we arrived at our conclusion regarding the reasonableness of disclosure of contingent liabilities and recognition of provisions, include the following: • We evaluated whether adequate controls are in place with respect to the estimation, assessment, and disclosure of pending litigation cases to be treated as contingent liabilities. • We reviewed the existing status of all contingent liabilities appearing in the opening balances, as well as those identified during the reporting period, giving due consideration to any material developments therein. • We examined various correspondences and related documents pertaining to pending legal cases, along with relevant external legal opinions obtained by the management, and performed substantive procedures on the estimates supporting the disclosure of contingent liabilities. • We reviewed the management's judgements and assessments with respect to the requirement of provisions, if any, for such matters. We also examined the background of those matters which have neither been provided for nor disclosed as contingent liabilities, on the basis that the probability of a material outflow of resources has been assessed as remote. We have examined the adequacy and completeness of disclosures. Our Audit procedure did not identify any material exceptions.

3	**Retrospective re-statement of Financial statements of financial year ended 31.03.2026:** During the financial year 2025-26, pursuant to the finalization of the land capitalization policy in compliance with the observations of the Comptroller and Auditor General (C&AG), the Company has restated its previous year financial statements and opening balances as at 1st April 2024. This restatement has been carried out by giving retrospective effect to the de-capitalization of GMJJ Land from the date of its initial capitalization, in accordance with the applicable Indian Accounting Standards (Ind AS). *(Refer Point No. 8 of Note 16 to the Consolidated Financial Statements)*	We have reviewed the C&AG observation and the management's judgment with respect to the de-capitalization of the said land from the date of its initial capitalization and have examined the management's assessment of the resultant impact on each financial statement line item in accordance with the applicable Indian Accounting Standards (Ind AS). Our audit procedures did not identify any material exceptions to the aforesaid assessment.

Information Other than the Consolidated Ind AS Financial Statements and Auditor's Report Thereon

The Holding Company's Board of Directors are responsible for the preparation of other information. The other information comprises the information included in the Annual Report but does not include the Consolidated Ind AS Financial Statements, Standalone Financial Statements and our auditor's report thereon. The other information as stated above is expected to be made available to us after the date of auditor's report.

Our opinion on the Consolidated Ind AS Financial Statements does not cover the other information and wedo not express any form of assurance conclusion thereon.

In connection with our audit of the Consolidated Ind AS Financial Statements, our responsibility is to read the other information identified above when it becomes available, compare with the Financial Statements of the Subsidiary audited by the other auditors, to the extent it relates to these entities and in doing so, place reliance on the work of the other auditors/management certification and consider whether the other information is materially inconsistent with the Consolidated Ind AS Financial Statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated. Other information so far as it relates to the Subsidiary is traced from their Financial Statements audited by other auditor.

When we read the other information as stated above and if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and describe necessary actions required as per applicable laws and regulations.

Responsibility of Management and Those Charged with Governance for the Consolidated Ind AS Financial Statements

The Holding Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation and presentation of these Consolidated Ind AS Financial Statements in terms of the requirements of the Companies Act 2013 that give a true and fair view of the Consolidated Financial Position, Consolidated Financial Performance, including Consolidated other comprehensive income, Consolidated Cash Flows and changes in Equity of the Group, in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under section 133 of the Act. The respective Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate implementation and maintenance of accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Consolidated Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the Consolidated Ind AS Financial Statements by the Directors of the Holding Company, as aforesaid.

In preparing the Consolidated Ind AS Financial Statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the respective entities to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate their respective entities or to cease operations, or have no realistic alternative but to do so.

The respective Board of Director of the companies included in the Group are also responsible for overseeing the financial reporting process of the Group.

Auditor's Responsibility for the Audit of the Consolidated Ind AS Financial Statements

Our objectives are to obtain reasonable assurance about whether the Consolidated Ind AS Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Consolidated Ind AS Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:-

- Identify and assess the risks of material misstatement of the Consolidated Ind AS Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3) (i) of the Act, we are also responsible for expressing our opinion on whether the Holding Company and it's Subsidiaries have adequate internal financial controls with reference to Consolidated Financial Statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Consolidated Ind AS Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease as a going concern.
- Evaluate the overall presentation, structure and content of the Consolidated Ind AS Financial Statements, including the disclosures, and whether the Consolidated Ind AS Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation, and
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the Consolidated Financial Statements. We are responsible for the direction, supervision and performance of the audit of the Standalone Financial Statements of the Holding Company included in the Consolidated Ind AS Financial Statements of the Holding Company included in the Consolidated Ind AS Financial Statements of which we are the independent auditors. For the other entities included in the Consolidated Ind AS Financial Statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence and communicated with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance of the Holding Company, we determine those matters that were of most significance in the audit of the Consolidated Ind AS Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

1. We did not audit the Financial Statements / financial information of the Subsidiary Company, included in the Consolidated Financial Statements for the year ended 31st March 2026, whose financial statements reflect total assets of ₹2,030.91 Crores as at 31st March, 2026, total revenues of ₹9.54 Crores and total comprehensive income of ₹ 6.48 Crores and net cash flows amounting to ₹68.29 Crore for the year ended on that date, as considered in the Consolidated Ind AS Financial Statements. These financial statements / financial information have been audited by other auditors whose reports have been furnished to us by the management and our opinion on the Consolidated Ind AS Financial Statements, in so far as it relates to the amounts and disclosures included in respect of the Subsidiary, is based solely on the report of the other auditor after considering the requirements of Standards of Auditing (SA 600) on 'Using the work of another auditor including materiality' and the procedures performed by us as already stated above.

   Our Opinion on the Consolidated Ind AS Financial Statements is not modified in respect of the matters stated above.

2. We draw attention to the fact that the Holding Company has not complied with the provisions of Section 149 of the Companies Act, 2013. The Woman Director on the Board, being a nominee of the Ministry of Coal, Government of India, ceased to hold office with effect from 21.11.2025 and no new Woman Director has been appointed as on the date of this report. Further, the Holding Company is required to have a minimum of 2 Independent Directors on its Board as per Section 149(4) read with Rule 4 of the Companies (Appointment and Qualification of Directors) Rules, 2014, however, the position of both Independent Directors remained vacant during the year, one throughout the year and another with effect from 27.03.2026, and no appointments have been made as on the date of this report. Consequently, the Audit Committee and the Nomination and Remuneration Committee were also not constituted in accordance with the Section 177 and Section 178 of Companies Act 2013.It may be noted that the appointments of directors in Government companies are made by the Government of India, and the above list of non-compliances is not exhaustive of all instances of non-compliance, if any, that may exist.

Report on Other Legal and Regulatory Requirements

1. As required under section 143(5) of the Companies Act 2013, we give in the "**Annexure A**", a statement on the matters specified in the Directions and Additional Directions issued by the Comptroller and Auditor General of India after complying the suggested methodology of Audit,based on the audit reports submitted by their independent auditor of the respective subsidiary.

2. As required by Section 143(3) of the Act, we report, to the extent applicable, that:

   a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid Consolidated Ind AS Financial Statements;

   b. In our opinion, proper books of account as required by law relating to the preparation of the aforesaid Consolidated Ind AS Financial Statements have been kept by the Group so far as it appears from our examination of those books except for the matters stated in paragraph 3(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules 2014, as amended from time to time;

   c. The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss (including Other Comprehensive Income), Consolidated Cash Flow Statement and Consolidated Statement of Change in Equity dealt with by this Report, are in agreement with the relevant books of accounts maintained for the purpose of the Consolidated Ind AS Financial Statements;

   d. In our opinion, the aforesaid Consolidated Ind AS Financial Statements comply with the Indian Accounting Standards specified under section 133 of the Act,relevant rules issued thereunder;

   e. In pursuance of the Notification No. G.S.R.463(E) dated 05.06.2015 issued by the Ministry of Corporate affairs, provisions of Section 164(2) of the Act, pertaining to disqualification of Directors, the same is not applicable to Government Company.

   f. With respect to the maintenance of accounts and other matters connected therewith, reference is invited to Paragraph 2(b) above on reporting under Section 143(3)(b) of the Act; and

g. With respect to the adequacy of the internal financial controls with reference to the Consolidated Ind AS Financial Statement of the Group and the operating effectiveness of such controls, refer to our separate Report in **"Annexure B".**

3. With respect to the other matters to be included in the Auditor's Report in accordance with Rule11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us and based on the consideration of reports of other auditor of Subsidiary:

(a) The Group has disclosed the impact of pending litigations on the Consolidated financial position of the Group – Refer to clause (a) of Point No. 1 of Note 16 of the Consolidated Ind AS Financial Statement.

(b) The Group has made provision, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts, including derivative contracts;

(c) As per written representation received from the management, there were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Group.

(d) (i) As represented by the respective managements of the Holding Company, and its Subsidiary, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entity ("intermediaries"), with the understanding, whether recorded in writing or otherwise, that the intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any Guarantee, Security or the like on behalf of the Ultimate Beneficiaries;

(ii) As represented by the respective managements of the Holding Company, and its Subsidiary, no funds have been received by the Company from any person(s) or entity(ies), including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, the group shall, whether, directly or indirectly, lend or invest in other person or entities identified in any manner whatsoever by or on behalf of the funding party ("ultimate Beneficiaries") or provide any Guarantee, Security or the like on behalf of the Ultimate Beneficiaries; and

(iii) Based on such audit procedures that the Statutory Auditors of the Holding Company, and its Subsidiary have considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that representations under Sub Clause(i) and (ii) of Rule 11(e) of the Companies (Audit And Auditors)Rules, 2014, as amended from time to time, as provided under (a) and (b) above, contain any material misstatement; and

(e) In case of the Holding Company, dividend declared or paid during the year by them are in compliance with Section 123 of the Companies Act, 2013. In case of Subsidiary i.e. Jharkhand Central Railway Limited (JCRL), no such dividend has been declared and paid during the year and hence provisions of Section 123 of the Companies Act 2013 are not applicable to this subsidiary.

(f) Based on our examination which included test checks and the audit report submitted by us, except for the instances mentioned below, the Holding Company has used accounting software for maintaining its books of account, which have a feature of recording audit trail (edit log) facility and the same has been operated throughout the year for all the transactions recorded in SAP. We have not come across any instances where the audit trail feature has been tampered with during the course of our audit.

With respect to reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 on preservation of audit trail as per the Statutory requirements for record retention for maintaining relevant records for prior years, record for audit trail are maintained for one month.

Further for the periods where audit trail (edit logs) facility was enabled by the Holding Company, we did not come across any instances of the audit trail feature being tampered with during our audit.

In respect to the subsidiary i.e. JCRL, their statutory auditors confirmed that the company has used an accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has operated through the year for all the relevant transactions recorded in the software. Moreover, the statutory auditors did not come across any instance of audit trail being tampered with. The Statutory Auditor of JCRL did not comment upon the software being used and also on the preservation of the audit trail for the prior year, and as such we are not able to comment on the same.

4. In our opinion and according to the information and explanation given to us, the qualifications or adverse remarks by the respective auditor of the Subsidiary i.e. JCRL on the matters specified in paragraphs 3 and 4 of the Companies (Auditor's Report) Order, 2020, issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013 to the extent applicable ("the Order"), are provided in the format below as per the requirement of clause 3(xxi) of the order.

Sl. No.	Company Name	Corporate Identification Number (CIN)	Holding Company/ Subsidiary Company	Clause Number of CARO Report which is adverse or qualified
1	Central Coalfields Limited	U10200JH1956GOI000581	Holding Company	3 (i) (c), 3 (ii) (a), 3 (vii) (b)
2	Jharkhand Central Railway Limited	U45201JH2015GOI003139	Subsidiary Company	3 (vii) (b)

For D N Dokania & Associates
Chartered Accountants
ICAI Firm Registration No. : 050042C
Sd/-
Naman Kumar Dokania
(Partner)
Membership Number : 417251
UDIN : 26417251NGPROS3954

Place : Ranchi
Date : 21st April 2026

Annexure "A" referred to in paragraph 2 of "Report on Other legal and Regulatory Requirements" of Independent Auditor's Report on the Consolidated Ind AS Financial Statements for the year ended March 31, 2026

Part – I : Directions

<table>
<tr><th>Sl. No.</th><th>Directions</th><th>Auditors' Reply on the action taken on the directions</th></tr>
<tr><td>1</td><td>Assess the fair valuation of all the investments, both quoted and unquoted, made directly by the Company or through Trusts, for Post retirement benefits of the employees. This includes verifying valuation methodologies, ensuring consistency with Ind AS and reviewing supporting documentation. The auditor shall provide a brief note on the valuation approach, its reasonability, and compliance with applicable regulations, reporting any material deviations or misstatements.</td><td>In case of Holding Company:
The fair valuation of investments held for post-retirement benefits of employees, made directly by the Company or through Trusts, has been assessed during the course of audit. The Company does not hold any quoted investments for this purpose. The unquoted investments have been valued based on a comprehensive actuarial valuation report, with actuarial assumptions and methodologies consistent with the requirements of Ind AS 19 (Employee Benefits) and Ind AS 113 (Fair Value Measurement). The overall valuation approach adopted by the Company is considered reasonable and the supporting documentation reviewed during the audit corroborates the valuation adopted. No material deviations or misstatements in the fair valuation of investments held for post-retirement benefits were noticed during the course of our audit.
In case of Subsidiary i.e. JCRL:
As reported by the auditor of the said subsidiary, the company does not hold any investments, either quoted or unquoted, directly or through Trusts, for post-retirement employee benefits.</td></tr>
<tr><td>2</td><td>Whether the company has a system in place to process all the accounting transactions through IT system? If yes, whether review of this system and controls that are significant to the Companies financial reporting process as well as cyber security has been done by Information Security Auditing organizations empaneled by Cert-Inat a minimum frequency of once in a year and material discrepancies found, if any, have been suitably reported? The implications of processing accounting transactions outside IT system on the integrity of the accounts along with the financial implications may also be reported.</td><td>In case of Holding Company:
i) System for Processing Accounting Transactions:
The Company has a system in place to process accounting transactions through SAP. Based on our audit procedures and observations, it was noted that all accounting transactions are processed through SAP, except the following which are processed outside the SAP environment through manual computation / standalone systems:
a) OBR Accounting (Stripping Ratio & Stripping Asset)
b) Inventory Valuation
However, in many areasattendance is not being captured through Biometric system, and the same is currently being entered manually in the system.
ii) Review by CERT-In Empanelled Agency:
The Company has got the review of its IT system and controls significant to the financial reporting process as well as cyber security conducted by an Information Security Auditing organization empanelled by CERT-In. A Security Assessment Certificate has been obtained dated 27.10.2025 vide Certificate No. ICPL/SCA/11566. The material discrepancies found, if any, during such review have been suitably reported.</td></tr>
</table>

Sl. No.	Directions	Auditors' Reply on the action taken on the directions
		iii) Implications of Processing Transactions Outside IT System: The transactions processed outside SAP, as enumerated at (i) above, are not subject to the automated controls and audit trails inherent in the SAP environment. However, no material discrepancies or adverse financial implications arising from processing of such transactions outside the IT system were noticed during the course of our audit. **In case of Subsidiary i.e. JCRL:** The auditor of the said subsidiary reported that the company has a system in place to process all the accounting transactions through the IT System. Moreover, there was no appointment of IS Auditing Organisation (Empaneled by CERT-IN) till the date of their report.
3	Whether funds (giants/subsidy etc.)received for specific schemes from Central/State Government or its agencies were properly accounted for as per the applicable accounting standards or norms and whether the received funds were utilized as per its terms and conditions? Whether accounting of interest earned on grants received has been done as per terms and conditions of the Grant. List the cases of deviation.	**In case of Holding & Subsidiary (JCRL) both:** As per information and explanation produced before us and as reported by the auditor of JCRL, there exists no such case of grant/subsidy has been received by the company during the current year, and accordingly, no question of accounting of interest does not arise.
4	Whether the Company has identified the key Risk are as? If yes, whether the Company has formulated any Risk Management Policy to mitigate these risks? If yes, (a) whet her the Risk Management Policy has been formulated considering global best practices? (b) whether the Company has identified its data assets and whether it has been valued appropriately?	**In case of Holding Company:** **i) Identification of Key Risk Areas and Risk Management Policy:** The Company has identified its key risk areas and has formulated a Risk Management Policy for identification, measurement and management of financial risks. The Risk Committee provides assurance to the Board of Directors that the Company's financial risk activities are governed by appropriate policies and procedures. The details have been disclosed in Point No. 5 of Note 16 of the Consolidated Financial Statements. **ii) Formulation of Risk Management Policy considering Global Best Practices:** As per the information and explanations given by the management, the Risk Management Policy has been formulated considering global best practices. **iii) Identification and Valuation of Data:** As per the information and explanations given by the management, the Company has identified its data and the same has been valued appropriately. **In case of Subsidiary i.e. JCRL:** The auditor of Subsidiary i.e JCRL reported that the subsidiary has identified its key risk areas and formulated a comprehensive risk management policy to effectively mitigate these risks. Moreover, they further reported that the subsidiary risk management is formulated as per DPE guidelines issued by the Government of India.

Sl. No.	Directions	Auditors' Reply on the action taken on the directions
5	Whether the Company is complying with the Securities and Exchange Board of India (SEBI) (Listing Obligation and Disclosure Requirements) Regulations, 2015, and other applicable rules and regulations of SEBI, Department of Investment and Public Asset Management, Ministry of Corporate Affairs, Department of Public Enterprises, Reserve Bank of India, Telecom Regulatory Authority of India, CERT-IN, Ministry of Electronics and Information Technology and National Payments Corporation of India wherever applicable? If not, the cases of deviation may be highlighted.	**In case of Holding Company:** The Company is complying with the guidelines and regulations issued by the Department of Investment and Public Asset Management (DIPAM), Ministry of Corporate Affairs (MCA), Department of Public Enterprises (DPE), and CERT-IN, wherever applicable. The regulations of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Reserve Bank of India, Telecom Regulatory Authority of India, Ministry of Electronics and Information Technology, and National Payments Corporation of India are not applicable to the Company. Accordingly, no cases of non-compliance or deviation arise in respect thereof. However, it is observed that the Company does not have a Woman Director on its Board with effect from 22.11.2025, which is mandatory under Section 149(1) of the Companies Act, 2013 read with Rule 3 of the Companies (Appointment and Qualification of Directors) Rules, 2014. Further, the Company is required to have a minimum of 2 Independent Directors on its Board as per Section 149(4) read with Rule 4 of the Companies (Appointment and Qualification of Directors) Rules, 2014, however, the position of both Independent Directors remained vacant during the year, one throughout the year and another with effect from 27.03.2026, and no appointments have been made as on the date of this report. Consequently, the Audit Committee and the Nomination and Remuneration Committee were also not constituted in accordance with the Section 177 and Section 178 of Companies Act 2013. This constitutes a deviation from the applicable provisions of the Companies Act, 2013, which may be regularised at the earliest **In case of Subsidiary i.e. JCRL** The auditor of the above subsidiary the auditor certified the full compliance with all the applicable regulations, wherever applicable, and they have not come across any instance of material deviation.

Part – II :Additional Directions

Sl. No.	Additional Directions	Auditors' Reply on the action taken on the directions
1	Whether coal stock measurement was done based on Yellow Book? Whether physical stock measurement reports are accompanied by contour maps in all cases ? Whether approval of the Competent Authority was obtained for new heap, if any, created during the year.	The coal stock measurement has been done based on the Yellow Book. The physical stock measurement reports are accompanied by contour maps in all cases. The approval of the Competent Authority was obtained for new heaps created during the year.
2	Whether the company has conducted physical verification exercise of assets and properties at the time of merger/split/re-structure of an area. If so, whether the concerned subsidiary followed the requisite procedure.	As per the information and explanations given by the management, no merger, split or restructuring of the Company was carried out during the year. Accordingly, the question of conducting physical verification of assets and properties in this regard does not arise.

3	Whether separate Escrow Accounts for each mine has been maintained in CIL and its subsidiary companies and the Escrow Agreements/ Accounts were modified/ updated in compliance of guidelines issued by Ministry from time to time.Also examine the utilization of the fund of the account.	Escrow Accounts have been maintained for 68 out of 69 mines of the Company. In respect of Pindra OC Mines, the Escrow Account has not been opened due to non-availability of Approved Progressive Rehabilitation and Mine Closure Plan (PR&MCP). The Ministry of Coal has issued Guidelines for preparation of Mining Plan and Mine Closure Plan for Coal and Lignite Blocks, which may necessitate updating of the existing plans. In respect of updation of Escrow Agreements/Accounts in compliance with the guidelines issued by the Ministry from time to time, out of 68 Escrow Accounts, 31 accounts have been updated, applications for updation have been submitted in respect of 13 accounts and are pending consideration, and the remaining 24 accounts are yet to be updated. The Company may take appropriate steps to ensure timely updation of the remaining accounts. During the year, the Company has received a sum of ₹17.63 Crores (Previous Year ₹ 13.55 Crores) from the Escrow Accounts for mine closure activities after obtaining approval from the Coal Controller Office. The said amount has been utilized for the intended purpose of mine closure activities.
4	Whether the impact of penalty for illegal mining as imposed by the Hon'ble Supreme Court/ National Green Tribunal/State Pollution Control Board has been duly considered and accounted for.	The matter relating to penalty for alleged excess production beyond Environmental Clearance limits has been considered by the Company. Demand notices were issued by certain District Mining Officers of Jharkhand in 42 projects pursuant to the judgment of the Hon'ble Supreme Court of India in Common Cause vs. UOI and Others (W.P.(C) No. 114 of 2014). The Company had filed revision petitions before the Coal Tribunal, Ministry of Coal, which set aside all 42 cases. Subsequently, fresh demand notices have been received by the projects of the Company imposing penalties aggregating to ₹15,426.90 Crores. The Company has filed revision applications before the Coal Tribunal, Ministry of Coal, wherein stay orders have been issued in 26 cases and hearings in the remaining cases are awaited. The Company, considering the remote possibility of outflow of resources, has not recognised the same as a contingent liability in the financial statements. The matter has been disclosed in the notes to the financial statements. Based on our audit procedures and the legal position as it stands, we have no further comments to offer in this regard, other than what has been disclosed by the management in the 1(d) of note no. 16 to the financial statements.
5	Whether any independent Assessment/ Certification in respect of migration process of data from Coal net portal to SAP has been done.	As per the information and explanation provided to us, the independent assessment/certification in respect of migration process of data from Coal net portal to SAP has been done and report dated 07.04.2025 has been obtained.

Please note that no additional directions has been reported by the auditor of Subsidiary i.e JCRL in their report.

For D N Dokania & Associates
Chartered Accountants
ICAI Firm Registration No. : 050042C

Sd/-
Naman Kumar Dokania
(Partner)
Membership Number : 417251
UDIN : 26417251NGPROS3954

Place : Ranchi
Date : 21st April 2026

Annexure - "B" to the Independent Auditors' Report

(Refer to in paragraph 2(g) of our Report on Other Legal and Regulatory Requirements)

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

In conjunction with our audit of the Consolidated Ind AS Financial Statements of the Company as of and for the year ended 31st March 2026 we have audited the internal financial controls with reference to the financial Statements Central Coalfields Limited (hereinafter referred to as "the Holding Company"), and its Subsidiary (the Holding Company and its Subsidiary together referred to as "the Group"), and we have considered for our reporting for this purpose such reports of the auditors of its Subsidiary, which are companies incorporated in India, as of that date.

Management's Responsibility for Internal Financial Controls

The respective Board of Directors of the Holding Company, its Subsidiary incorporated in India are responsible for establishing and maintaining internal financial controls based on the internal controls with reference to Consolidated Indas Financial Statement criteria established by the respective company considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to Plant's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013 ('the Act').

Auditors' Responsibility

Our responsibility is to express an opinion on the Internal financial controls with reference to Financial Statements of the Group based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing, prescribed under section 143(10) of the Act, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the Consolidated Ind AS Financial Statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports, is sufficient and appropriate to provide a basis for our audit opinion on the Group's internal financial controls system with reference to Consolidated Ind AS Financial Statements.

Meaning of Internal Financial Controls with Reference to Consolidated Ind AS Financial Statements

A Company's internal financial control with reference to Consolidated Ind AS Financial Statements, is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Consolidated Ind AS Financial Statements for external purposes in accordance with generally accepted accounting principles. The Company's internal financial control over financial reporting includes those policies and procedures that:

1. Pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect

the transactions and dispositions of the assets of theCompany.

2. Provide reasonable assurance that transactions are recorded as necessary to permit preparation of Financial Statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the area are being made only in accordance with authorizations of management of the Company; and

3. Provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the Company's assets that could have a material effect on the Financial Statements.

Inherent Limitations of Internal Financial Controls with Reference to Consolidated Ind AS Financial Statements

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

According to the information and explanations given to us and based on our audit and based on the consideration of the report of other auditors on Internal Financial Controls with reference to the Financial Statement of Subsidiary, in our opinion, the group has generally maintained, in all material respects, adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were generally operating effectively as at 31st March 2026, based on the internal control over financial reporting criteria established by the Group considering the essential components of internal control stated in the "Guidance Note on Audit of Internal Financial Controls Over Financial Reporting" issued by the Institute of Chartered Accountants of India.

For D N Dokania & Associates
Chartered Accountants
ICAI Firm Registration No. : 050042C

Sd/-
Naman Kumar Dokania
(Partner)
Membership Number : 417251
UDIN : 26417251NGPROS3954

Place : Ranchi
Date : 21st April 2026

Compliance Certificate

We have conducted the audit of the Consolidated Ind AS Financial Statements of Central Coalfields Limited for the financial year ended 31st March 2026 in accordance with the direction issued by the Comptroller and Auditor General of India under sub section 5 of section 143 of the Companies Act, 2013 and certified that we have complied with all the directions issued to us.

For D N Dokania & Associates
Chartered Accountants
ICAI Firm Registration No.: 050042C

Sd/-
Naman Kumar Dokania
(Partner)
Membership Number: 417251

Place: Ranchi
Date: 21.04.2026

CONSOLIDATED BALANCE SHEET AS AT 31.03.2026

(₹ in Crore)

ASSETS	Note No.	As at 31.03.2026	As at 31.03.2025 (Restated)	As at 01.04.2024 (Restated)
Non-Current Assets				
Property, Plant & Equipment	3.1	8,477.01	8,326.38	6,337.73
Capital Work in Progress	3.2	2,732.36	1,880.49	1,845.55
Exploration and Evaluation Assets	3.3	487.87	587.54	605.31
Intangible Assets	3.4	19.28	20.41	24.51
Intangible Assets under Development	3.5	1,794.89	1,369.19	787.32
Financial Assets				
(i) Investments	4.1	-	-	-
(ii) Loans	4.2	17.68	13.59	8.69
(iii) Other Financial Assets	4.6	2,403.21	2,063.99	1,897.16
Deferred Tax Assets (Net)	11.2	200.04	138.13	228.48
Non-Current Tax Assets (Net)	11.1	-	-	-
Other Non-current Assets	6.1	6,963.61	7,109.18	5,519.64
Total Non-Current Assets		**23,095.95**	**21,508.90**	**17,254.39**
Current Assets				
Inventories	5.1	2,390.26	1,807.34	1,314.92
Financial Assets				
(i) Investments	4.1	9.90	9.29	308.72
(ii) Trade Receivables	4.3	1,164.17	1,628.91	1,716.73
(iii) Cash & Cash Equivalents	4.4	794.92	1,078.96	475.29
(iv) Other Bank Balances	4.5	2,424.25	1,219.34	2,040.43
(v) Loans	4.2	2.05	1.52	1.01
(vi) Other Financial Assets	4.6	447.22	205.01	127.57
(c) Current Tax Assets (Net)	11.1	699.41	415.40	527.57
(d) Other Current Assets	6.2	2,849.04	3,357.02	3,037.60
Total Current Assets		10,781.22	9,722.79	9,549.84
		-	-	-
Total Assets		**33,877.17**	**31,231.69**	**26,804.23**

CONSOLIDATED BALANCE SHEET AS AT 31.03.2026

(₹ in Crore)

EQUITY AND LIABILITIES	Note No.	As at 31.03.2026	As at 31.03.2025 (Restated)	As at 01.04.2024 (Restated)
Equity				
Equity Share Capital	7.1	1,880.00	1,880.00	1,880.00
Other Equity	7.2	16,757.36	14,638.84	11,733.72
Equity attributable to Equity holders of the Company		18,637.36	16,518.84	13,613.72
Non-Controlling Interest	7.3	262.48	200.50	198.78
Total Equity		**18,899.84**	**16,719.34**	**13,812.50**
Liabilities				
Non-Current Liabilities				
Financial Liabilities				
(i) Borrowings	8.1	1,258.27	1,029.17	478.38
(ii) Lease Liabilities	8.2	0.04	0.25	-
(iii) Other Financial Liabilities	8.4	214.06	176.96	148.02
Provisions	9.1	6,123.80	6,188.86	5,335.39
Deferred Tax Liabilities (Net)	11.2	-	-	-
Other Non-Current Liabilities	10.1	292.83	332.80	372.82
Total Non-Current Liabilities		**7,889.00**	**7,728.04**	**6,334.61**
Current Liabilities				
Financial Liabilities				
(i) Borrowings	8.1	-	-	-
(ii) Lease Liabilities	8.2	0.21	0.23	-
(iii) Trade Payables	8.3			
(a) Total outstanding dues of micro, small and medium enterprises		9.65	9.59	11.78
(b) Total outstanding dues of Creditors other than micro, small and medium enterprises		1,088.87	1,002.76	1,024.78
(iv) Other Financial Liabilities	8.4	1,552.38	2,302.50	1,863.16
Other Current Liabilities	10.2	3,827.07	2,808.80	2,966.45
Provisions	9.1	610.15	660.43	790.95
Current Tax Liabilities (Net)	11.1	-	-	-
Total Current Liabilities		**7,088.33**	**6,784.31**	**6,657.12**
Total Equity and Liabilities		**33,877.17**	**31,231.69**	**26,804.23**

The Accompanying Note No. 1 to 16 form an integral part of the Financial Statements.

In terms of our Report of even date

For D N Dokania & Associates
CHARTERED ACCOUNTANTS
Firm Reg.No. 050042C

Sd/-
(CA Naman Kumar Dokania)
Partner
(Membership No. 417251)

On behalf of the Board

Sd/-
(Nilendu Kumar Singh)
Chairman-Cum-Managing Director
DIN- 09847503

Sd/-
(Pawan Kumar Mishra)
Director (Finance)
DIN- 09665365

Sd/-
(D. Devi Prasad)
General Manager (Finance)

Sd/-
(Amaresh Pradhan)
Company Secretary
M. No.-F11264

Place : Ranchi
Dated : 21st April, 2026

CONSOLIDATED STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 31.03.2026

(₹ in Crore)

		Notes	For the year ended 31.03.2026	For the year ended 31.03.2025 (Restated)
(I)	Revenue from Operations	12.1	**21,608.42**	**20,725.74**
(II)	Other Income	12.2	555.01	725.88
(III)	**Total Income (I+II)**		**22,163.43**	**21,451.62**
(IV)	**EXPENSES**			
	Cost of Materials Consumed	13.1	970.97	1,006.68
	Changes in inventories of finished goods/work in progress and Stock in trade	13.2	(595.68)	(495.86)
	Employee Benefits Expense	13.3	7,049.50	6,616.94
	Finance Costs	13.4	122.01	94.93
	Depreciation/Amortization/ Impairment	13.5	994.28	889.45
	Stripping Activity Adjustments	13.6	(343.38)	(185.64)
	Contractual Expenses	13.7	2,357.15	2,358.99
	Other Expenses	13.8	8,242.66	5,716.38
	Total Expenses (IV)		**18,797.51**	**16,001.87**
(V)	**Profit before Exceptional items and Tax (III-IV)**		**3,365.92**	**5,449.75**
(VI)	Share of joint venture profit/(loss)		-	-
(VII)	**Profit before Tax (V-VI)**		**3,365.92**	**5,449.75**
(VIII)	Tax expense	14.1		
	Current Tax		460.38	1,296.69
	Deferred Tax		(61.91)	90.35
(IX)	**Profit for the Year (VII-VIII)**		**2,967.45**	**4,062.71**
	Other Comprehensive Income	15.1		
	Items that will not be reclassified to profit or loss		220.28	(74.93)
	Less: Income tax relating to items that will not be reclassified to profit or loss		55.44	(18.86)
	Items that will be reclassified to profit or loss		-	-
	Less: Income tax relating to items that will be reclassified to profit or loss		-	-
(X)	**Total Other Comprehensive Income**		**164.84**	**(56.07)**
(XI)	**Total Comprehensive Income for the year (XIV+XV) (Comprising Profit /(Loss) and Other Comprehensive Income for the year)**		**3,132.29**	**4,006.64**
	Profit attributable to:			
	Owners of the Company		2,965.12	4,060.99
	Non-Controlling Interest		2.33	1.72
			2,967.45	**4,062.71**

		Notes	For the year ended 31.03.2026	For the year ended 31.03.2025 (Restated)
	Other Comprehensive Income attributable to:			
	Owners of the Company		164.84	(56.07)
	Non-Controlling Interest		-	-
			164.84	**(56.07)**
	Total Comprehensive Income attributable to:			
	Owners of the Company		3,129.96	4,004.92
	Non-Controlling Interest		2.33	1.72
(XII)	**Earnings per Equity Share (Face value ₹ 1,000 each):**			
	(1) Basic (₹)		1,577.19	2,160.10
	(2) Diluted (₹)		1,577.19	2,160.10

The Accompanying Note No. 1 to 16 form an integral part of the Financial Statements.

In terms of our Report of even date

On behalf of the Board

For D N Dokania & Associates
CHARTERED ACCOUNTANTS
Firm Reg.No. 050042C

Sd/-
(Nilendu Kumar Singh)
Chairman-Cum-Managing Director
DIN- 09847503

Sd/-
(Pawan Kumar Mishra)
Director (Finance)
DIN- 09665365

Sd/-
(CA Naman Kumar Dokania)
Partner
(Membership No. 417251)

Sd/-
(D. Devi Prasad)
General Manager (Finance)

Sd/-
(Amaresh Pradhan)
Company Secretary
M. No.-F11264

Place : Ranchi
Dated : 21st April, 2026

STATEMENT OF CASH FLOW (INDIRECT METHOD) - CONSOLIDATED FOR THE YEAR ENDED 31.03.2026

(₹ in Crore)

	For the year ended 31.03.2026	For the year ended 31.03.2025 (Restated)
CASH FLOW FROM OPERATING ACTIVITIES		
Profit before tax	3,365.92	5,449.75
Adjustments for :		
Share of Joint Venture	-	-
Depreciation, amortisation and impairment expenses	994.28	889.45
Interest and dividend income	(309.58)	(364.92)
Finance cost	122.05	94.98
(Profit)/Loss on sale of Property, Plant and Equipment	0.73	4.61
Allowances & Provision	41.89	2.77
Write Off	-	-
Provision written back	83.92	153.96
Reversal of Stripping Activity Provision	(274.69)	21.10
Stripping Activity Adjustment	(343.38)	(185.64)
Foreign Exchange rate variance	-	-
Cash flows from operating activities before changes in following assets and liabilities	**3,681.14**	**6,066.06**
Trade Receivables	**443.44**	**96.77**
Inventories	**(602.85)**	**(501.65)**
Loans and Advances and other financial assets	**(227.21)**	**(13.52)**
Other current and non current Assets	**399.66**	**(138.50)**
Trade Payables	**86.17**	**(24.21)**
Other financial liabilities	**(713.87)**	**452.99**
Other current and non current liabilities	**978.30**	**(197.67)**
Provisions	**238.27**	**381.75**
Cash Generated from Operation	**4,283.05**	**6,122.02**
Income Tax Paid/Refund	**(799.83)**	**(1,165.66)**
Net Cash Flow from Operating Activities (A)	**3,483.22**	**4,956.36**
CASH FLOW FROM INVESTING ACTIVITIES		
Payments for Property, Plant and Equipments and Intangible assets	(1,704.69)	(4,978.77)
Proceeds from Sale of Property, Plant and Equipments	0.84	8.96
Payments for Exploration and Evaluation Asset	(21.63)	(77.23)
Realisation of deposits/(Deposits) with Banks	(1,547.15)	617.84
Proceeds from/(Investment in) Mutual Fund, Shares etc.	0.01	314.99
Interest received on Investment	292.31	313.95
Net Cash from Investing Activities (B)	**(2,980.31)**	**(3,800.26)**

CASH FLOW FROM FINANCING ACTIVITIES		
Proceeds from /(Repayment of) non current borrowings	229.10	550.79
Proceeds from /(Repayment of) current borrowings	-	-
Repayment of lease liabilities (including interest)	0.27	0.26
Interest paid	(4.88)	(3.68)
Dividend paid on Equity shares	(1,011.44)	1,099.80)
Buyback of Equity Share Capital	-	-
Tax on Buyback of Equity Share Capital	-	-
Net Cash used in Financing Activities (C)	**(786.95)**	**(552.43)**
Net Increase / (Decrease) in Cash & Bank Balances (A+B+C)	**(284.04)**	**603.67**
Cash & cash equivalents as at the beginning of the year	**1,078.96**	**475.29**
Cash & cash equivalents as at the end of the year	**794.92**	**1,078.96**
Components of Cash and Cash Equivalents		
Balances with Banks		
in Deposit Accounts	74.95	4.35
in Current Accounts	469.84	634.49
Bank Balances outside India	-	-
ICDs with Primary Dealers	250.00	440.00
Cheques, Drafts and Stamps in hand	-	-
Cash on hand	-	-
Cash on hand outside India	-	-
Others	**0.13**	**0.12**
Total (Refer note 4.4 and note 8.1 for components of Cash and Cash Equi.)	**794.92**	**1,078.96**

1 The above statement of cash flow is prepared in accordance with the Indirect Method prescribed in Ind AS 7 - 'Statement of Cash flows.'

2 Cash ouflow on account of Corporate Social Responsibility during the year ended 31.03.2026 is ₹ 97.99 Crore (PY ₹ 58.08 Crore).

3 The Accompanying Note No. 1 to 16 form an integral part of the Consolidated Financial Statements.

4 Refer to Note 16 (8) for details on the reclassification and restatement in accordance with Ind AS 8, Accounting Policies, Changes in Accounting Estimates and Errors, and Ind AS 1, Presentation of Financial Statements.

On behalf of the Board

In terms of our Report of even date

For D N Dokania & Associates
CHARTERED ACCOUNTANTS
Firm Reg.No. 050042C

Sd/-
(Nilendu Kumar Singh)
Chairman-Cum-Managing Director
DIN- 09847503

Sd/-
(Pawan Kumar Mishra)
Director (Finance)
DIN- 09665365

Sd/-
(CA Naman Kumar Dokania)
Partner
(Membership No. 417251)

Sd/-
(D. Devi Prasad)
General Manager (Finance)

Sd/-
(Amaresh Pradhan)
Company Secretary
M. No.-F11264

Place : Ranchi
Dated : 21st April, 2026

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31.03.2026 - CONSOLIDATED

A. EQUITY SHARE CAPITAL

As at 31.03.2026 (₹ in Crore)

Particulars	Balance as at 01.04.2025	Changes In Equity Share Capital during the year	Balance as at 31.03.2026
1,88,00,000 Equity Shares of ₹1,000/- each	**1,880.00**	**-**	**1,880.00**

As at 31.03.2025 (₹ in Crore)

Particulars	Balance as at 01.04.2024	Changes In Equity Share Capital during the year	Balance as at 31.03.2025
1,88,00,000 Equity Shares of ₹1,000/- each	**1,880.00**	**-**	**1,880.00**

B. OTHER EQUITY

As at 31.03.2026 (₹ in Crore)

Particulars	General Reserve	Retained Earnings	Remeasurement of Defined Benefits Plans (net of Tax) - (OCI)	Equity Attributable to Equity Shareholders	Non-Controlling Interest	Total
Balance as at 01.04.2025	1,589.58	13,162.06	(112.80)	14,638.84	200.50	14,839.34
Changes in accounting policy or prior period errors	-	-	-	-	-	-
Restated balance as at 01.04.2025	**1,589.58**	**13,162.06**	**(112.80)**	**14,638.84**	**200.50**	**14,839.34**
Total Comprehensive Profit	-	2,965.12	164.84	3,129.96	2.33	3,132.29
Addition during the period					59.65	59.65
Transfers and Other Adjustments						
Interim Dividend	-	(402.32)	-	(402.32)	-	(402.32)
Final Dividend	-	(609.12)	-	(609.12)	-	(609.12)
Balance as at 31.03.2026	**1,589.58**	**15,115.74**	**52.04**	**16,757.36**	**262.48**	**17,019.84**

As at 31.03.2025 (₹ inCrores)

Particulars	General Reserve	Retained Earnings	Remeasurement of Defined Benefits Plans (net of Tax) - (OCI)	Equity Attributable to Equity Shareholders	Non-Controlling Interest	Total
Balance as at 01.04.2024	1,589.58	10,180.57	(56.73)	11,713.42	198.78	11,912.20
Changes in accounting policy or prior period errors	-	20.30	-	20.30	-	20.30
Restated balance as at 01.04.2024	**1,589.58**	**10,200.87**	**(56.73)**	**11,733.72**	**198.78**	**11,932.50**
Total Comprehensive Profit	**-**	**4,060.99**	**(56.07)**	**4,004.92**	**1.72**	**4,006.64**

Particulars	General Reserve	Retained Earnings	Remeasurement of Defined Benefits Plans (net of Tax) - (OCI)	Equity Attributable to Equity Shareholders	Non-Controlling Interest	Total
Transfers and Other Adjustments						
Interim Dividend	-	(601.60)	-	(601.60)	-	(601.60)
Final Dividend	-	(498.20)	-	(498.20)	-	(498.20)
Balance as at 31.03.2025	**1,589.58**	**13,162.06**	**(112.80)**	**14,638.84**	**200.50**	**14,839.34**

Refer Note 7.2 for dividend and the nature and purpose of Reserves and Surplus.

The Accompanying Note No. 1 to 16 form an integral part of the Consolidated Financial Statements.

In terms of our Report of even date

On behalf of the Board

For D N Dokania & Associates
CHARTERED ACCOUNTANTS
Firm Reg.No. 050042C

Sd/-
(Nilendu Kumar Singh)
Chairman-Cum-Managing Director
DIN- 09847503

Sd/-
(Pawan Kumar Mishra)
Director (Finance)
DIN- 09665365

Sd/-
(CA Naman Kumar Dokania)
Partner
(Membership No. 417251)

Sd/-
(D. Devi Prasad)
General Manager (Finance)

Sd/-
(Amaresh Pradhan)
Company Secretary
M. No.-F11264

Place : Ranchi
Dated : 21st April, 2026

NOTES TO THE FINANCIAL STATEMENTS (CONSOLIDATED)

Note1 (A): CORPORATE INFORMATION

Central Coalfields Limited (CCL), a Miniratna company, is a 100% subsidiary of Coal India Limited (A Government of India Undertaking) having its registered office at Darbhanga House, Ranchi, Jharkhand – 834029.

The Company is mainly engaged in mining and production of Coal and also operates Coal washeries. The major consumers of the company are power and steel sectors. Consumers from other sectors include cement, fertilisers, brick kilns etc.

CCL has a joint venture agreement with IRCON International Limited & Government of Jharkhand named Jharkhand Central Railway Limited (JCRL). The basic objective of JCRL is to build, construct, operate and maintain identified Rail Corridor Projects that are critical for evacuation of coal from mines in the State of Jharkhand which shall be used for both freight and passenger services and to develop required rail infrastructure including construction of railway lines together with all related facilities etc.

The Consolidated financial statements for the quarter ended 31st December 2025, were approved for issue by the Board of Directors of the company on 19th January 2026.

B. Statement of Compliance and Recent Accounting Pronouncement

i) Statement of Compliance

The consolidated financial statements have been prepared in accordance with the Indian Accounting Standards (hereinafter referred to as the "Ind AS") as notified under the Companies (Indian Accounting Standards) Rules, 2015 (as amended) read with Section 133 of the Companies Act, 2013 ("the Act"). The Ind ASs issued, notified and made effective till the date of financial statements are approved, have been considered for the purpose of preparation of the consolidated financial statements.

The accounting policies are applied consistently except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in the accounting policy hitherto in use.

ii) Application of new and revised standards:

Ministry of Corporate Affairs (MCA) notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules, from time to time. MCA has not notified any new standards or amendments to the existing standards which are effective from 1 April 2026.

Note 2: MATERIAL ACCOUNTING POLICY INFORMATION

1.1 Basis of preparation of financial statements

The Consolidated Financial Statements have been prepared under the historical cost convention on accrual basis except certain financial instruments that are measured in terms of relevant Ind AS at amortized costs or fair value at the end of each reporting period.

Historical cost convention is generally based on the fair value of the consideration given in exchange for goods and services.

Items included in the financial statements are measured using the currency of the primary economic environment in which the company operates (the functional currency). The financial statements are presented in Indian Rupees (₹), which is the company's functional and presentation currency and all values are rounded off to the '₹ in crore' up to two decimal points.

2.2 Basis of consolidation

2.2.1 Subsidiaries

i. Subsidiaries are entities over which the Group has control and the Control is achieved when the group is exposed or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its:

- **a.** Power over the investee;
- **b.** Exposure or rights to variable returns from its involvement with the investee;
- **c.** The ability to use its power over the investee to affect its returns.

Subsidiaries are consolidated from the date control over the subsidiary is acquired and they are discontinued from the date of cessation of control.

ii. The Group combines the financial statements of the Holding and its subsidiaries based on a line-by-line consolidation by adding together the book value of like items of assets and liabilities, revenue and expenses as per the respective financial statements. Intra-group balances, intra-group transactions, and the unrealised profits on stocks arising out of intra-grouptransactions have been eliminated.

iii. The consolidated financial statements are prepared using uniform accounting policies for similar material transactions and other events in similar circumstances otherwise as stated elsewhere.

iv. The difference between the costs of investment in the subsidiaries, over the net assets at the time of acquisition of shares in the subsidiaries is recognised in the consolidated financial statements as Goodwill or Capital reserve as the case may be. The said goodwill is not amortised, however, it is tested for impairment at each balance sheet date, and impairment loss, if any is recognised in the consolidated financial statements.

v. Non-controlling interest's share of the net profit of subsidiaries for the year is identified and adjusted against the revenue of the Group in order to arrive at the net revenue attributable to the owners of the Holding Company. The excess of loss for the year over the non-controlling interest is adjusted in the owner's interest.

vi. Non-controlling interest's share of net assets of subsidiaries is identified and presented in the Consolidated Balance Sheet separate from liabilities and the equity of the Holding Company's shareholders.

vii. A change in the ownership interest of a subsidiary which does not result in a loss of control, is accounted for as an equity transaction.

viii. If the Group loses control over a subsidiary, it derecognizes the assets, liabilities, carrying amount of any non-controlling interests and the cumulative translation differences recorded in equity. Any interest retained in the former subsidiary is measured at fair value at the date the control is lost, with the resulting gain/ loss recognised in the statement of Profit & Loss.

Business Combination and Goodwill

The Group except for combination of group entities which are under common control applies the acquisition method in accounting for business combinations. The consideration transferred by the Group to obtain control of a subsidiary is calculated as the sum of the acquisition-date fair values of assets transferred, liabilities incurred and the equity interests issued by the Group, which includes the fair value of any asset or liability arising from a contingent consideration arrangement. Acquisition costs are expensed as incurred. Assets acquired and liabilities assumed are generally measured at their acquisition date fair values.

In case of combination of entities under control, business combination are accounted for under pooling of interest method whereby the assets and liabilities are combined at the carrying amount and no adjustments are made to reflect their fair values or recognise any new assets or liabilities.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the combination date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquire are assigned to those units.

2.2.2 Associates

Associates are all entities over which the Company has significant influence but no control or joint control. This is generally the case where the Company holds between 20% and 50% of the voting rights.

Investments in associates are accounted for using the equity method of accounting, after initially being recognised at cost, except when the investment, or a portion thereof, classified as held for sale, in which case it is accounted in accordance with Ind AS 105.

The Group impairs its net investment in the associates on the basis of objective evidence.

2.2.3 Joint arrangements

Joint arrangements are those arrangements where the Group is having joint control with one or more other parties.

Joint control is the contractually agreed sharing of control of the arrangement which exist only when decisions about the relevant activities require the unanimous consent of the parties sharing control.

Joint Arrangements are classified as either joint operations or joint ventures. The classification depends on the contractual rights and obligations of each investor, rather than the legal structure of the joint arrangement.

2.2. 4 Joint Operations

A joint operation is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the assets, and obligations for the liabilities, relating to the arrangement. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

The group recognises its direct right to the assets, liabilities, revenues and expenses of joint operations and its share of any jointly held or incurred assets, liabilities, revenues and expenses. These have been incorporated in the financial statements on line by line basis with similar items in the consolidated financial statements or otherwise under the appropriate heads of accounts.

2.2.5 Joint ventures

i) A joint venture is a joint arrangement whereby parties that have joint control of the arrangement having rights to the net assets of the arrangement. Interests in joint ventures are initially recognised at cost and thereafter accounted for using the equity method.

ii) Investments in Joint venture are accounted for using the equity method of accounting, after initially being recognized at cost, except when the investment, or a portion thereof, is classified as held for sale, in which case it is accounted in accordance with Ind AS 105.

iii) The Group impairs its net investment in the joint venture on the basis of objective evidence, When the Group's share of losses in a joint venture equals or exceeds its investment in the entity, including any other unsecured long-term receivables, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the joint venture.

iv) Unrealised gains on transactions between the Group and its joint ventures are eliminated to the extent of the Group's interest in these entities. Unrealised losses on transactions between the Group and its joint ventures are also eliminated to the extent of the Group's interest in these entities unless the transaction provides evidence of an impairment of the asset transferred. Where the accounting policies of joint ventures are different from those of the Group, appropriate adjustments are made for like transactions and events in similar circumstances to ensure conformity with the policies adopted by the group.

v) Any gain or loss on dilution arising on a reduced stake in the joint venture, but still retaining the joint control, is recognized in the Statement of Profit and Loss.

vi) When the investment ceases to be a joint venture and the retained interest is a financial asset, the Group measures the retained interest at fair value with the change in carrying amount recognised in the Statement of Profit and Loss. The fair value of the retained interest becomes the initial carrying amount for the purpose of accounting for the retained interest as a financial asset. Any amounts previously recognised in other comprehensive income in respect of that joint venture are reclassified to the Statement of Profit and Loss.

2.2.6 Equity Method

Under the equity method of accounting, the investments are initially recognised at cost and adjusted thereafter for the post-acquisition

changes in the Group's share of the net assets of the investee. The Group's share of the post-acquisition profitsor losses and other comprehensive income of the investee are included in the Statement of Profit and Loss and Other Comprehensive Income of the Group. Dividends received or receivable from joint ventures are recognised as a reduction in the carrying amount of the investment.

When the Group's share of losses in an equity-accounted investment equals or exceeds its interest in the entity, including any other unsecured long-term receivables, the Group does not recognise further losses, unless it has incurred obligations or made payments on behalf of the other entity

2.2.7 Changes in ownership interests

The Group treats transactions with non-controlling interests that do not result in a loss of control as transactions with equity owners of the Group. A change in ownership interest results in an adjustment between the carrying amounts of the controlling and non-controlling interests to reflect their relative interests in the subsidiary. Any difference between the amount of the adjustment to non-controlling interests and any fair value of consideration paid or received is recognised within equity

When the Group ceases to consolidate or equity account for an investment because of a loss of control, joint control or significant influence, any retained interest in the entity is remeasured to its fair value with the change in carrying amount recognised in profit or loss. This fair value becomes the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

If the ownership interest in a joint venture or an associate is reduced but joint control or significant influence is retained, only a proportionate share of the amounts previously recognised in other comprehensive income are reclassified to profit or loss where appropriate.

2.3 Current and Non-Current Classification

The Company presents assets and liabilities in the Balance Sheet based on current/ non-current classification. An asset is treated as current by the Company when:

(a) it expects to realise the asset, or intends to sell or consume it, in its normal operating cycle;

(b) it holds the asset primarily for the purpose of trading;

(c) it expects to realise the asset within twelve months after the reporting period; or

(d) the asset is cash or a cash equivalent (as defined in Ind AS 7) unless the asset is restricted from

being exchanged or used to settle a liability for at least twelve months after the reporting period. All other assets are classified as non-current.

A liability is treated as current by the Company when:

(a) it expects to settle the liability in its normal operating cycle;

(b) it holds the liability primarily for the purpose of trading;

(c) the liability is due to be settled within twelve months after the reporting period; or

(d) it does not have the right at the end of the reporting period to defer settlement of the liability for at least twelve months after the reporting period.

All other liabilities are classified as non-current.

Having regard to the nature of the business being carried out by the group, the group has ascertained its operating cycle as twelve months for the purpose of current and non-current classification of assets and liabilities.

2.4 Revenue recognition

Revenue from contracts with customers

Revenue is principally derived from the sale of coal, related ancillary services, and products. Revenue from sales of products is recognized when control of the products has transferred, being when the products are delivered to the customer. Delivery occurs when the products have been shipped or delivered to the specific location as the case may be, and the risks of loss have been transferred in accordance with the sales contract. The amount of revenue recognized reflects the consideration to which the Group is or expects to be entitled in exchange for those goods or services. Accumulated experience is used to estimate and provide for the variable consideration as per the sales contract, and revenue is only recognized to the extent that it is highly probable that a significant reversal will not occur. The amount of consideration does not contain a significant financing component as payment terms are less than one year as per the sales contracts.

The group has a number of long-term contracts to supply products to customers in future periods. Generally, revenue is recognized on an invoice basis, as each unit sold is a separate performance obligation, and therefore the right to consideration from a customer corresponds directly with our performance completed to date.

Interest

Interest income from a financial asset is recognized when it is probable that the economic benefits will flow to the Group and the amount of income can be measured reliably. Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts the estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

Dividends

Dividend income is recognised when the company's right to receive the payment is established, which is generally when shareholders approve the dividend.

Other Claims

Revenue in respect of Other claims (including interest on delayed realization from customers) are recognized only when there is reasonable certainty as to the ultimate collection and the amount can be measured reliably.

2.5 Grants from Government

Government Grants are not recognised until there is reasonable assurance that the Group will comply with the conditions attached to the grants and that there is reasonable certainty that the grants will be received.

Government grants are recognised in Statement of Profit and Loss on a systematic basis over the periods in which the Group recognises the related expenses or costs for which the grants are intended to compensate.

Government Grants related to assets are presented in the balance sheet by setting up the grants as deferred income and are recognised in Statement of Profit and Loss on systematic basis over the useful life of asset.

Grants related to income (i.e. grant related to other than assets) are presented as part of statement of profit and loss under the head 'Other Income'.

A government grant/assistance that becomes receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the Group with no future related costs, is recognised in profit or loss of the period in which it becomes receivable.

The Government grants or grants in the nature of promoter's contribution is recognised directly in "Capital Reserve" which forms part of the "Shareholders fund".

2.6 Leases

A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

2.6.1 Group as a lessee

The Group assesses whether a contract contains a lease, at inception of a contract. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assesses whether: (i) the contract involves the use of an identified asset (ii)the Group has substantially all of the economic benefits from use of the asset through the period of the lease and (iii) the Group has the right to direct the use of the asset.

At the commencement date, a lessee shall recognise a right-of-use asset at cost and a lease liability at the present value of the lease payments that are not paid at that date for all leases unless the lease term is 12 months or less or the underlying asset is of low value.

Subsequently, right-of-use asset is measured using cost model whereas, the lease liability is measured by increasing the carrying amount to reflect interest on the lease liability, reducing the carrying amount to reflect the lease payments made and re-measuring the carrying amount to reflect any reassessment or lease modifications

The lease liability is initially measured at amortized cost at the present value of the future lease payments. The lease payments are discounted using the interest rate implicit in the lease or, if not readily determinable, using the incremental borrowing rates of these leases. Lease liabilities are premeasured with a corresponding adjustment to the related right of use asset if the Group changes its assessment if whether it will exercise an extension or a termination option. Lease liability and ROU asset are separately presented in the Balance Sheet and lease payments are classified as financing cash flows. Lease liability obligations is presented separately under the head "Financial Liabilities".

Finance charges are recognised in finance costs in the Statement of Profit and Loss, unless the costs are included in the carrying amount of another asset applying other applicable standards.

Right-of-use asset is depreciated over the useful life of the asset, if the lease transfers ownership of the asset to the lessee by the end of the lease term or if the cost of the right-to-use asset reflects that the lessee will exercise a purchase option. Otherwise, the lessee shall depreciate the right-to-use asset from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term.

2.6.2 Group as a lessor

Assets are given on lease either as finance lease or operating lease.

Finance Lease: A lease is classified as finance lease if it transfers substantially all the risks and rewards incidental to ownership of an underlying asset. Initially, asset held under finance lease is recognised in Balance Sheet and presented as a receivable at an amount equal to the net investment in the lease. Finance income is recognised over the lease term, based on a pattern reflecting a constant periodic rate of return on Group's net investment in the lease.

Operating Lease: A lease which is not classified as a finance lease is an operating lease. The Group recognises lease payments in case of assets given on operating leases as income on a straight line basis.

2.7 Non-current assets held for sale

The Group classifies non-current assets and (or disposal groups) as held for sale if their carrying amounts will be recovered principally through a sale rather than through continuing use. Actions required to complete the sale should indicate that it is unlikely that significant changes to the sale will be made or that the decision to sell will be withdrawn. Management must be committed to the sale expected to be completed within one year from the date of classification.

For these purposes, sale transactions include exchanges of non-current assets for other non-current assets when the exchange has commercial substance. The criteria for held for sale classification is regarded met only when the assets or disposal group is available for immediate sale in its present condition, subject only to terms that are usual and customary for sales of such assets (or disposal groups), its sale is highly probable; and it will genuinely be sold, not abandoned. The Group treats sale of the asset or disposal group to be highly probable when:

- The appropriate level of management is committed to a plan to sell the asset (or disposal group),
- An active programme to locate a buyer and complete the plan has been initiated
- The asset (or disposal group) is being actively marketed for sale at a price that is reasonable in relation to its current fair value,
- The sale is expected to qualify for recognition as a completed sale within one year from the date of classification, and
- Actions required to complete the plan indicate that it is unlikely that significant changes to the Plan will be made or that the plan will be withdrawn Non-current asset or disposal groups classified as held for sale are measured at the lower of carrying amount and fair value less costs to sell.

2.8 Property, Plant and Equipment (PPE) and Depreciation

An item of PPE is recognized as an asset if it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably.

PPE are initially measured at cost of acquisition/ construction including decommissioning or restoration cost wherever required. Cost of land includes expenditures which are directly attributable to the acquisition of the land like, rehabilitation expenses, resettlement cost and compensation in lieu of employment incurred for concerned displaced persons etc.

After recognition, an item of all other Property, plant and equipment are carried at its cost less any accumulated depreciation and any accumulated impairment losses under Cost Model. The cost of an item of property, plant and equipment comprises:

(a) its purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates.

(b) any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

(c) the initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located, the obligation for which the Group incurs either when the item is acquired or as a consequence of having used the item during a particular period for purposes other than to produce inventories during that period.

(d) Interest on Borrowings utilized to finance the construction of qualifying assets are capitalised as part of cost of the asset until such time that the asset is ready for its intended use.

Each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item is depreciated separately. However, significant part(s) of an item of PPE having same useful life and depreciation method are grouped together in determining the depreciation charge.

Costs of the day to-day servicing described as 'repairs and maintenance' are recognised in the statement of profit and loss in the period in which the same are incurred.

Subsequent cost of replacing parts which are significant in relation to the total cost of an item of property, plant and equipment are recognised in the carrying amount of the item, if it is probable that future economic benefits associated with the item will flow to the Group; and the cost of the item can be measured reliably. The carrying amount of those parts that are replaced is derecognised in accordance with the derecognition policy mentioned below.

When major inspection is performed, its cost is recognised in the carrying amount of the item of property, plant and equipment as a replacement if it is probable that future economic benefits associated with the item will flow to the Group; and the cost of the item can be measured reliably. Any remaining carrying amount of the cost of the previous inspection (as distinct from physical parts) is derecognised.

An item of Property, plant or equipment is derecognised upon disposal or when no future economic benefits are expected from the continuing use of assets. Any gain or loss arising on such derecognition of an item of property plant and equipment is recognised in profit and Loss.

Depreciation on property, plant and equipment, except freehold land, is provided as per cost model on straight line basis over the estimated useful lives of the asset as follows:

Other Land

(incl. Leasehold Land)	:	Life of the project or lease term whichever is lower
Building (incl. Roads)	:	3-60 years
Telecommunication	:	3-9 years
Railway Sidings	:	15 years
Plant and Equipment	:	1-30 years
(incl. Railway Corridor, Others)		
Computers and Laptops	:	3 Years
Office equipment	:	2-5 years
Furniture and Fixtures	:	10 years
Vehicles	:	8-10 years

Based on technical evaluation, the management believes that the useful lives given above best represent the period over which the management expects to use the asset. Hence the useful lives of the assets may be different from the useful lives as prescribed under Part C of Schedule II of the companies act, 2013.

The estimated useful life of the assets is reviewed at the end of each financial year.

The residual value of Property, plant and equipment is considered 5% of the original cost of the asset except for some items of assets such as mobile phones 1%, other land, site restoration asset, other mining infrastructure, surveyed off assets, coal tub, winding ropes, haulage ropes, stowing pipes and safety lamps etc. considered to have no residual value.

Depreciation on the assets added/disposed of during the year is provided on pro-rata basis with reference to the month of addition / disposal.

Value of "Other Land" includes land acquired under Coal Bearing Area (Acquisition & Development) (CBA) Act, 1957, Land Acquisition Act, 1894, Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement (RFCTLAAR) Act, 2013, Long term transfer of government land etc., which are amortised on the basis of the balance life of the project; and in case of Leasehold land such amortisation is based on lease period or balance life of the project whichever is lower.

Assets that are fully depreciated and retired from active use are disclosed separately as surveyed off assets at its residual value under Property, Plant Equipment and are tested for impairment.

Transition to Ind AS

The Group elected to continue with the carrying value as per the cost model (for all of its property, plant and equipment as recognised in the financial statements as at the date of transition to Ind ASs, measured as per the previous GAAP.

2.9 Mine Closure, Site Restoration and Decommissioning Obligation

The Group's obligation for land reclamation and decommissioning of structures consists of spending at both surface and underground mines in accordance with the guidelines from the Ministry of Coal, Government of India. The Group estimates its obligation for Mine Closure, Site Restoration and Decommissioning based upon detailed calculation and technical assessment of the amount and timing of the future cash spending to perform the required work. Mine Closure expenditure is provided as per approved Mine Closure Plan. The estimates of expenses are escalated for inflation, and then discounted at a discount rate that reflects current market assessment of the time value of money and the risks, such that the amount of provision reflects the present value of the expenditures expected to be incurred to settle the obligation. The Group records a corresponding asset associated with the liability for final reclamation and mine closure. The obligation and corresponding assets are recognised in the period in which the liability is incurred. The asset representing the total site restoration cost (as estimated by Central Mine Planning and Design Institute Limited) as per the mine closure plan is recognised as a separate item in PPE and amortised over the balance project/mine life.

The value of the provision is progressively increased over time as the effect of discounting unwinds; creating an expense recognised as a financial expense.

Further, a specific escrow fund account is maintained for this purpose as per the approved mine closure plan.

The progressive mine closure expenses incurred on year to year basis forming part of the total mine closure obligation are initially recognised as receivable from the escrow account and thereafter adjusted with the obligation in the year in which the amount is withdrawn after the concurrence of the certifying agency.

2.10 Exploration and Evaluation Assets

Exploration and evaluation assets comprise costs that are attributable to the search for coal and related resources, pending the determination of technical feasibility and the assessment of commercial viability of an identified resource which comprises inter alia the following:

- acquisition of rights to explore
- researching and analysing historical exploration data;
- gathering exploration data through topographical, geo-chemical and geo-physical studies;
- exploratory drilling, trenching, and sampling;
- determining and examining the volume and grade of the resource;
- surveying transportation and infrastructure requirements;
- Conducting market and finance studies.

The above includes employee remuneration, cost of materials and fuel used, payments to contractors etc.

As the intangible component represents an insignificant/ indistinguishable portion of the overall expected tangible costs to be incurred and recouped from future exploitation, these costs along with other capitalised exploration costs are recorded as exploration and evaluation assets.

Exploration and evaluation costs are capitalised on a project-by-project basis pending the determination of technical feasibility and commercial viability of the project and disclosed as a separate line item under non-current assets. They are subsequently measured at cost less accumulated impairment.

Once proved reserves are determined and the development of mines/projectsare sanctioned, exploration and evaluation assets are transferred to "Other Mining Infrastructure" under capital work in progress. However, if proved reserves are not determined, the exploration and evaluation asset is derecognised.

2.11 Other mining Infrastructure (Development Expenditure)

When proved reserves are determined and the development of mines/projectsare sanctioned, capitalised exploration and evaluation cost is recognised as assets under construction and disclosed as a component of capital work in progress under the head "Other mining Infrastructure". All subsequent development expenditure is also capitalised. The development expenditure capitalised is net of proceeds from the sale of coal extracted during the development phase.

Commercial Operation

The project/mines are brought to revenue; when commercial readiness of a project/mine to yield production on a sustainable basis is established either on the basis of conditions specifically stated in the project report or on the basis of the following criteria:

(a) From the beginning of the financial year immediately after the year in which the project achieves physical output of 25% of rated capacity as per the approved project report, or

(b) 2 years of touching coal, or

(c) From the beginning of the financial year in which the value of production is more than total expenses.

Whichever event occurs first;

On being brought to revenue, the assets under capital work in progress are reclassified as a component of property, plant, and equipment under the nomenclature "Other Mining Infrastructure". Other Mining infrastructures are amortised from the year when the mine is brought under revenue in 20 years or the working life of the project whichever is less.

2.12 Intangible Assets and Amortisation

Intangible assets acquired separately are measured on initial recognition at cost. Cost includes any directly attributable expenses necessary to make the assets ready for its intended use. After initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses.

Subsequent expenditure is recognized as an increase in the carrying amount of the asset when it is probable that future economic benefits deriving from the cost incurred will flow to the Group and the cost of the item can be measured reliably.

An item of Intangible asset is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Gains or losses arising from the derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit and Loss when the asset is derecognised.

Internally generated intangibles, excluding capitalised development costs, are not capitalised. Instead, the related expenditure is recognised in the statement of profit and loss and other comprehensive income in the period in which the expenditure is incurred.

The useful lives of intangible assets are assessed as either finite or indefinite. Intangible assets with finite lives are amortised over their useful economic lives and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the statement of profit and loss. Amortisation of intangible asset is provided on straight line basis over the estimated useful lives of the intangible asset as follows:

Intangible Assets		Useful Life
SAP/ERP	:	6 years
Other Computer Software	:	License period
Rail Corridor	:	Life as per MoU contract period

An intangible asset with an indefinite useful life is not amortised but is tested for impairment at each reporting date.

Exploration and Evaluation assets attributable to blocks identified for sale or proposed to be sold to outside agencies (i.e. for blocks not earmarked for CIL) are however, classified as Intangible Assets and tested for impairment.

Expenditure on research is charged to expenditure as and when incurred. Expenditure on development is capitalized only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable and the company intends to and has sufficient resources to complete development and to use or sell the asset.

2.13 Impairment of Assets (other than financial assets)

The Group assesses at the end of each reporting period whether there is any indication that an asset may be impaired. If any such indication exists, the Group estimates the recoverable amount of the asset. An asset's recoverable amount is the higher of the asset's or cash-generating unit's value in use and its fair value less costs of disposal, and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets, in which case the recoverable amount is determined for the cash-generating unit to which the asset belongs. The group considers individual mines as separate cash-generating units for the purpose of a test of impairment.

If the recoverable amount of an asset is estimated to be less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount and the impairment loss is recognised in the Statement of Profit and Loss.

2.14 Investment Property

Property (land or a building or part of a building or both) held to earn rentals or for capital appreciation or both, rather than for, use in the production or supply of goods or services or for administrative purposes; or sale in the ordinary course of businesses are classified as an investment property.

Investment property is measured initially at its cost, including related transaction costs and where applicable borrowing costs.

Investment properties are depreciated using the straight-line method over their estimated useful lives.

2.15 Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

2.15.1 Financial assets

2.15.1.1 Initial recognition and measurement

All financial assets are recognised initially at fair value, in the case of financial assets not recorded at fair value through profit or loss, plus transaction costs that are attributable to the acquisition of the financial asset. Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognised on the trade date, i.e., the date that the Group commits to purchase or sell the asset. However, trade receivables that do not contain a significant financing component are measured at transaction price.

2.15.1.2 Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Debt instruments at amortised cost
- Debt instruments at fair value through other comprehensive income (FVTOCI)
- Debt instruments, derivatives and equity instruments at fair value through profit or loss (FVTPL)
- Equity instruments measured at fair value through other comprehensive income (FVTOCI)

2.15.1.2.1 Debt instruments at amortised cost

A 'debt instrument' is measured at the amortised cost if both the following conditions are met:

a) The asset is held within a business model whose objective is to hold assets for collecting contractual cash flows, and

b) Contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

After initial measurement, such financial assets are subsequently measured at amortised cost using the effective interest rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in the profit or loss. The losses arising from impairment are recognised in the profit or loss.

2.15.1.2.2 Debt instrument at FVTOCI

A 'debt instrument' is classified as at the FVTOCI if both of the following criteria are met:

a) The objective of the business model is achieved both by collecting contractual cash flows and selling the financial assets, and

b) The asset's contractual cash flows represent SPPI.

Debt instruments included within the FVTOCI category are measured initially as well as at each reporting date at fair value. Fair value movements are recognized in the other comprehensive income (OCI). However, the Group recognizes interest income, impairment losses & reversals and foreign exchange gain or loss in the P&L. On derecognition of the asset, cumulative gain or loss previously recognised in OCI is reclassified from the equity to P&L. Interest earned whilst holding FVTOCI debt instrument is reported as interest income using the EIR method.

2.15.1.2.3 Debt instrument at FVTPL

FVTPL is a residual category for debt instruments. Any debt instrument, which does not meet the criteria for categorization as at amortized cost or as FVTOCI, is classified as at FVTPL.

In addition, the Group may elect to designate a debt instrument, which otherwise meets amortized cost or FVTOCI criteria, as at FVTPL. However, such election is allowed only if doing so reduces or eliminates a measurement or recognition inconsistency (referred to as 'accounting mismatch'). The Grouphas not designated any debt instrument as at FVTPL.

Debt instruments included within the FVTPL category are measured at fair value with all changes recognized in the P&L.

2.15.1.2.4 Equity investments in subsidiaries, associates and Joint Ventures

In accordance of Ind AS 101 (First time adoption of Ind AS), the carrying amount of these investments as per previous GAAP as on the date of transition is considered to be the deemed cost. Subsequently Investment in subsidiaries, associates and joint ventures are measured at cost.

In case of consolidated financial statements, Equity investments in associates and joint ventures are accounted as per equity method as prescribed in para 10 of Ind AS 28.

2.15.1.2.5 Other Equity Investment

All other equity investments in scope of Ind AS 109 are measured at fair value through profit or loss.

The Groupmay make an irrevocable election to present in other comprehensive income subsequent changes in the fair value. The Group makes such election on an instrument by-instrument basis. The classification is made on initial recognition and is irrevocable.

All fair value changes of an equity instrument classified at FVTOCI, are recognized in OCI. There is no subsequent reclassification of fair value gains and losses to the Statement of Profit and Loss. However, the Group may transfer the cumulative gain or loss within equity. Dividends from such investments are recognised in the Statement of Profit and Loss as "other income" when the Group's right to receive payments is established.

Equity instruments included within the FVTPL category are measured at fair value with all changes recognized in the P&L.

2.15.1.3 Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e. removed from the balance sheet) when:

- The rights to receive cash flows from the asset have expired, or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognise the transferred asset to the extent of the Group's continuing involvement. In that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Grouphas retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

2.15.1.4 Impairment of financial assets(other than fair value)

In accordance with Ind AS 109, the Groupapplies expected credit loss (ECL) model for measurement and recognition of impairment loss on the following financial assets and credit risk exposure:

a) Financial assets that are debt instruments, and are measured at amortised cost e.g., loans, debt securities, deposits, trade receivables and bank balance

b) Financial assets that are debt instruments and are measured as at FVTOCI

c) Lease receivables under Ind AS 116

d) Trade receivables or any contractual right to receive cash or another financial asset that result from transactions that are within the scope of Ind AS 115.

The companyfollows 'simplified approach' for recognition of impairment loss allowance on:

- Trade receivables or contract revenue receivables; and
- All lease receivables resulting from transactions within the scope of Ind AS 116

The application of simplified approach does not require the Groupto track changes in credit risk. Rather, it recognises impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition.

2.15.2 Financial liabilities

2.15.2.1 Initial recognition and measurement

The Group's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

2.15.2.2 Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

2.15.2.2.1 Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial